IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.103

C.A.(CAA)/61(AHM)2022

Proceedings under Section 230-232

IN THE MATTER OF:

Silvam Innovation Labs Pvt Ltd **.....Applicant**
Polycab India Ltd

.....Respondent

Order delivered on: 08/02/2023

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B. GOSAVI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA) No.61/230-232/NCLT/AHM/2022

[In the matter of Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

Of

M/s. Silvan Innovation Labs Private Limited
("Transferor Company")

with

M/s. Polycab India Limited
("Transferee Company")

AND

Their Respective Shareholders And Creditors

In the matter of:

M/s. Polycab India Limited

[CIN:L31300GJ1996PLC114183]

9A company incorporated under the

Provisions of the Companies Act, 1956)

Having its registered office at

Unit 4,Plot No 105 ,Halol Vadodara Road,

Village Nurpura ,Taluka Halol,

Panchmahals – 389350, Gujarat.

....Applicant Company 1/
Transferee Company

M/s. Silvan Innovation Labs Private Limited
[CIN:U72900GJ2008PTC135164]
A company incorporated under the
Provisions of the Companies Act, 1956
Having its registered office at
Unit 4, Plot No 105, Halol Vadodara Road,
Village Nurpura, Taluka Halol,
Panchmahals- 389350, Gujarat.

…. Applicant Company 2/
Transferor Company

Order Pronounced on: 08.02.2023.

Coram: Dr. Madan Bhalchandra Gosavi Hon'ble Member (Judicial)
Kaushalendra Kumar Singh Hon'ble Member (Technical)

Appearance : Prashant Patel, Advocate for Applicant Companies.

ORDER

1. The present joint Application is filed under Section 230-232 with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "the Act") and read with the Companies (Compromise, Arrangement, and Amalgamations) Rules, 2016 seeking dispensation of the meetings of Equity Shareholders, Preference Shareholder and Unsecured Creditor of Applicant Company 2(Transferor Company), and further seeking dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of Applicant Company 1(Transferee Company) for the purpose of considering and, if thought fit, approving, with or without modification(s), a Scheme of Amalgamation of M/s. Silvam Innovation Labs Pvt. Ltd (Applicant Company 2) with M/s. Polycab India Ltd (Applicant Company 1) [hereinafter referred to as the "Applicant Companies] and their respective shareholders and

creditors (the Scheme) with effect from the Appointed Date, i.e. 01.04.2022, as mentioned in the Scheme. This Application is filed on 04.11.2022.

2. An Affidavit has been sworn by Mr. Jagrut Sevantilal Shah, the Authorized Signatory for the Applicant Companies, has been authorized vide Board Resolutions dated 18th October, 2022 of Applicant Company 1 and 12th October 2022 of Applicant Company 2.

3. The averments made by the Applicant Companies are summarized as under:

i) The Board of Directors of Transferee Company and Transferor Company have approved the Scheme of Amalgamation at their respective Board Meetings held on 18/10/2022 and 12/10/2022. Copies of respective Board Resolutions passed on 18/10/2022 and 12/10/2022 of both the Applicant Companies are placed on record. The proposed Scheme of Amalgamation is annexed to the application as Annexure-P.

ii) The registered offices of both the Applicant Companies are situated in the State of Gujarat, and are under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

iii) The Transferor Company was originally incorporated in the name of Knowledge Repositories And innovations Solutions India Private Limited on 30/06/2008 under the provisions of the Companies Act, 1956, Subsequently, the name was changed from Knowledge Repositories And innovations Solutions

India Private Limited to Silvan innovation Labs Private Limited vide fresh Certificate of incorporation issued by the ROC on 5th November, 2008 and registered office of the Company was shifted from the State of Karnataka to the State of Gujarat vide fresh Certificate of incorporation issued by the ROC on 1st September, 2022. The Registered office of the Transferor Company is situated at Unit 4, Plot No 105, Halol Vadodara Road,Village Nurpura, Taluka Halol, Panchamahal Panch Mahals- 389350, Gujarat. The Authorised Share Capital of the Transferor Company is Rs. 3,00,00,000/- which is divided into 1,80,392 Equity shares of Rs.100 each,3,00,000 0.1 % Compulsorily Convertible Preference shares of Rs.10 each,1,451 0.1% Compulsory Convertible Preference shares of Rs. 200 each (Class A1),4,353 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A2),14,000 0.1% Compulsorily Convertible Preference shares of Rs.200 each (Class A3)25,000 0.1 % Compulsorily Convertible Preference shares of Rs.200 each (Class B).

iv) The Transferee Company was incorporated as 'Polycab Wires Private Limited' at Mumbai as a private limited company under the Companies Act, 1956. On June 30, 2000, Company became a deemed public limited company under Section 43A(1) of the Companies Act, 1956, and the word 'private' was struck off from the name of Company with effect from June 30, 2000. Thereafter, Company was converted into a private limited company under section 43A(2A) of the Companies Act, 1956, and the word 'private' was added in the name of Company with effect from June 15, 2001. Later, Company was converted into a public

limited company, the word 'private' was struck off from the name of Company and consequently, a fresh certificate of incorporation dated August 29, 2018 was issued by the Registrar of Companies, National Capital Territory of Delhi and Haryana ("RoC Delhi"), recording the change of Company's name to 'Polycab Wires Limited'. Thereafter, the name of Company was changed from 'Polycab Wires Limited' to 'Polycab India Limited' and fresh certificate of incorporation issued by RoC Delhi on October 13, 2018. On June 27, 2020 the registered office of the Company has been shifted from National Capital Territory of Delhi to the State of Gujarat. The copy of the Memorandum and Articles of Association along with the Certificates of incorporation is annexed as Annexure-A to the application. The registered office of the company is situated at Unit 4, Plot No.105, Halol Vadodara Road Village Nurpura, Taluka Halol, PanchamahalPanch Mahals-389350, Gujarat, India. The Authorised Share Capital of the Transferee Company is Rs. 186,25,00,000/- which is divided 18,62,50,000 Equity Shares of Rs.10 each.

v) Applicant Companies are empowered by their respective Memorandum and Articles of Association to enter into Scheme of Amalgamation. Copies of Memorandum and Articles of Association of all the Applicant Companies are placed on record. The Audited Financial Statements of the Transferor Company and Transferee Company as on 31st March, 2022 are placed on record. The unaudited Financial Statements of the Transferor Company and Transferee Company as on 30th September, 2022 are also placed on record.

vi) It is submitted that Transferee Company is a listed company on BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE").Transferee Company vide its acknowledgement dated 21/10/2020 has intimated BSE Limited and National Stock Exchange of India Limited about the scheme as per the Listing Regulation & SEBI circulars for the purpose of disclosures.

vii) The Applicant Companies have annexed accounting treatment specified in the Scheme of Amalgamation which are in conformity with the applicable accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and certificates issued by the statutory auditors of the respective Applicant Companies are filed and produced vide Annexure-Q to the Company Application.

viii) The Applicant Companies have submitted that no investigations or proceedings under the Companies Act, 1956/Companies Act, 2013 have been instituted or are pending in relation to the Applicant Companies.

ix) The Applicant Companies submitted that the approval from SEBI and the observation letters from the Stock Exchanges are not required as the Scheme of Amalgamation is between the Applicant Company 1 and Applicant Company 2, which is wholly owned subsidiary of the Applicant Company 1. Notice under Section 230(3) of the Companies Act, 2013 may be issued to National Stock Exchange of India Limited, BSE Limited and to the Securities and Exchange

Board of India.

x) The Applicant Companies submitted that notice to Reserve Bank of India is not required as no foreign entities are involved in present Scheme and they are not regulated by the RBI.

xi) The Applicant Companies submitted that notice to Competition Commission of India is not required as the Scheme is eligible for and can avail the exemption under Item 9 of Schedule I of the Competition Commission of India("CCI") (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011,("Combination Regulations").

xii) The Transferor Company has two (2) Equity Shareholders, one (1) Preference Shareholder, one (1) Unsecured Creditor and nil Secured Creditor. The meeting of the Equity Shareholders, Preference shareholder and unsecured creditor of the Transferor Company for the purpose of considering, approving, with or without modification, the scheme of Amalgamation, be dispensed with in view of their consent affidavits given by them. The consent Affidavits of the Equity Shareholders, Preference Shareholder and Unsecured Creditors of the Transferor Company are annexed at **Annexure-I, Annexure-K(i) to K(v) and Annexure-N** respectively to the application. M/s Jain Nikhil N & Co, Chartered Accountant, has certified the number and value of the Equity Shareholders, Preference Shareholders and Unsecured Creditors. The certificates for the same are annexed at **Annexure-J, Annexure-L and Annexure-O** respectively to the Application. Hence, the

Transferor company is seeking dispensation for holding the meeting of Equity Shareholders, Preference Shareholders and Unsecured Creditors.

xiii) Since there are no Secured Creditor in the Transferor Company and therefore no Meeting is required to be held. The certificate issued by M/s. Jain Nikhil N & Co, Chartered Accountant, certifying that the Transferor Company does not have any Secured Creditor, is produced at Annexure-M to the application.

xiv) The Transferee Company has 3,26,774 Equity Shareholders amounting to Rs. 149,65,10,020/-, 8 Secured Creditors amounting to Rs. 1039,74,29,529/-, 2641 Unsecured Creditors amounting to Rs. 373,93,51,786/- as on 30th September, 2022 as per Chartered Accountant's Certificate. The copies of certificates issued by M/s. Prashant Shah & Co., Chartered Accountant certifying the number and value of Equity Shareholders, Secured Creditors and Unsecured Creditors are annexed with the application at **Annexure-F, Annexure-H** and **Annexure-H** respectively. The Transferee Company did not obtain the formal consent of Equity Shareholders, Secured and Unsecured Creditors of Transferee Company, hence meetings are required to convene for the purpose of considering and if thought fit, approving, with or without modification(s), a Scheme of Amalgamation.

xv) The rationale of the Scheme of Amalgamation stated in the proposed Scheme is as under: -

a) *The nature of business carried on by the Transferor Company is complimentary to the business carried on by the Transferee Company.*

b) *The Transferor Company is a wholly owned subsidiary of the Transferee Company and it was acquired with the purpose of building capabilities in the area of Internet of Things (IoT) based home solutions and setting up an integrated platform for appliances to talk with each other.*

c) *The proposed Amalgamation would ensure transformation of the Transferee Company from inter alia an electrical manufacturing company to a technology focused solutions provider with inhouse research and development for IoT based products and will boost the FMEG business of the Transferee Company.*

4. Heard the Ld. Counsel for the Applicant Companies and perused the Company Application and the documents annexed therewith. The present joint company application is allowed with the following order/directions:-

i) The meetings of Equity Shareholders, sole Preference Shareholder and sole Unsecured Creditor of the Transferor Company are hereby dispensed with in view of their consent affidavits attached with the application.

ii) There are no secured creditors in the Transferor Company. Hence, convening of the meeting of secured creditors is obviated.

iii) The meeting of Equity Shareholders of Transferee Company shall be convened and held

on Friday, 17th March 2023 at 11.00 a.m. at Unit 4,Plot No 105 ,Halol Vadodara Road, Village Nurpura ,Taluka Halol, Panchmahals – 389350, Gujarat, for the purpose of considering and, if thought fit, approving the proposed Scheme of Arrangement, with or without modifications through video conferencing or other audio visual means, and not in physical presence of shareholders.

iv) The meeting of Secured Creditors shall be convened and held on Friday, 17th March 2023 at 12.00 noon at Unit 4,Plot No 105 ,Halol Vadodara Road, Village Nurpura ,Taluka Halol, Panchmahals – 389350, Gujarat, for the purpose of considering and, if thought fit, approving the proposed Scheme of Amalgamation, with or without modifications through video conferencing or other audio visual means, and not in physical presence of shareholders.

v) The meeting of Unsecured Creditors shall be convened and held on Friday, 17th March 2023 at 3.00 p.m. at Unit 4,Plot No 105 ,Halol Vadodara Road, Village Nurpura ,Taluka Halol, Panchmahals – 389350, Gujarat,, for the purpose of considering and, if thought fit, approving the proposed Scheme of Amalgamation, with or without modifications through video conferencing or other audio visual means, and not in physical presence of Unsecured Creditors.

vi) Mr. Dipak Rachchha, Advocate or in his absence Mr. Mehul Rajput, Advocate is hereby appointed

as Chairman of the said meetings to be held on 17th March 2023 and in respect of any adjournment or adjournments thereof.

vii) Mr. Satyanarain Samdani (Membership No. F3677), Practicing Company Secretary or in his absence Mr. Chirag Shah(Membership No. F5545), Practicing Company Secretary shall act as the scrutinizer of the aforesaid meetings and in respect of any adjournment thereof.

viii) At least one month before the date of meetings, an advertisement about convening the aforesaid meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company, indicating the day, the date, the time and the details of modalities for the meeting through video conferencing as aforesaid, shall be published once in English Daily "Financial Express" Gujarat Edition and Gujarati translation thereof in Gujarati daily "Gujarat Samachar" Gujarat Edition. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act, read with Sections 230 and 232 of the Act can be obtained free of charge at the Registered Office of the Applicant Companies or at the office of the Advocates, i.e. Mr. Prashant Patel, 409, West Face, Near Baghban Party Plot, Zydus Hospital Road, Thaltej, Ahmedabad - 380059 in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

ix) In addition, at least one month before the date of the meetings, a notice in Form No. CAA 2 convening the said meetings indicating the day, the date, the time as aforesaid; (alongwith instructions with regard to remote e-voting), together with a copy of the Scheme of Amalgamation, copy of the Explanatory Statement required to be sent under Section 102 of the Act, read with Sections 230 and 232 of the Act and Rule 6 of the Companies (CAA) Rules, 2016 as well as other requisite documents, shall be sent to each of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company at their respective available addresses either through e mail or courier or speed post or registered post. In case of the Equity Shareholders of the Transferee Company, the notices shall be sent in reference to the list of the members appearing on record of the Transferee Company as on 10th February, 2023. The notices shall be sent to the Secured creditor and Unsecured Creditors of the Transferee company, in reference to the list of the creditors appearing on record of the Applicant Companies as on 1st February 2023 and the voting percentage of such creditors as per list is to be decided after considering the amount of debt as on the date of voting, which is to be ensured by the chairperson.

x) The Chairman appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meetings referred to above. The Chairperson is free to avail the

services of Transferee Company or any agency for carrying out the aforesaid directions.

xi) The Chairperson shall have all powers under the Articles of Association of Transferee Company and also under the Rules in relation to the conduct of meeting, including for deciding any procedural question that may arise at the meeting or adjournment thereof proposed at the said meeting, amendment(s) to the aforesaid scheme or resolutions, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of Transferee Company stated hereinabove.

xii) The quorum for the meetings of the Equity Shareholders, Secured Creditors and the Unsecured Creditors of the Transferee Company shall be as per Rule 5 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and would include Equity Shareholders and Creditors present through video conferencing and/or other audio-visual means. In case the required quorum as stated above is not present at the commencement of the meeting, the meeting shall be adjourned for 30 (thirty) minutes and thereafter the persons present shall be deemed to constitute the quorum.

xiii) The Fees of the Chairperson for the aforesaid meetings shall be Rs.1,00,000/-. The Fees of the

Scrutinizer shall be Rs.50,000/- in addition to their out of pocket expenses.

xiv) The number and value of the vote of each Equity Shareholders, or the value of debt of the Secured Creditor and Unsecured Creditors of the Transferee Companies, as the case may be, shall be in accordance with the Chartered Accountant's Certificate or records of the Transferee Company for Equity Shareholders and as per the entries in the books of accounts of the TransfereeCompany for the Secured and Unsecured Creditors; and where the entries in the records are disputed, the Chairman of the meetings shall determine the value for the purposes of the meetings.

xv) The Chairman to file an affidavit in not less than 7(seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

xvi) It is further ordered that the Chairman of the company shall report to this Tribunal the result of the meeting in Form No.CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in from No. CAA.4 within seven days after conclusion of the meeting.

xvii) The voting by proxy shall not be permitted as the meetings would be held through video conferencing and/or other audio-visual means.

xviii) In compliance of sub-section (5) of section 230 and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA. 3 along with explanatory statement and disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the concerned Registrar of Companies, Gujarat (iii) the concerned Income Tax Authorities along with full details of assessing officer and PAN numbers of all the applicant companies with the copy also to the Chief Commissioner of Income Tax Office, and (iv) BSE Limited (v) National Stock Exchange Limited as well as (vi) Securities and Exchange Board of India; for only the Transferee Company and to (viii) the Official Liquidator (in respect of Transferor Company), stating that representations, if any, to be made by them be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed scheme of Amalgamation. The said notices shall be sent by registered post or by speed post or by courier or by hand delivery at the office of the aforesaid statutory authorities as required by sub-rule(2) of Rule 8 of the Companies (CAA) Rules, 2016. The Aforesaid statutory authorities who desire to make any representation under Sub section (5) of Section 230 shall sent the same to this Tribunal with a copy of the same to the

Applicant Companies within a period of 30 days from the date of such service.

5. The Applicant Companies shall file a compliance affidavit with the Registry with regard to the directions given in this order.

6. List the matter on 28.03.2023 for filing report by the Chairman.

-SD-
KAUSHALENDRA KUMAR SINGH
MEMBER(TECHNICAL)

-SD-
DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

Sapna